

Pandora A/S

PNDORA.CO • NASDAQ Copenhagen • Luxury Goods • Denmark

COMPANY PROFILE

Pandora A/S is a Danish jewellery company and the world's largest jewellery brand by volume. It designs, manufactures and retails charms, charm bracelets, rings, necklaces and earrings, including lab-grown diamonds, through a global network of concept stores and e-commerce. The business is vertically integrated, with its own crafting facilities in Thailand and Vietnam. It is organized around two product-based segments — the heritage "Core" charm collections and the newer "Fuel with More" categories — and is now pursuing a strategic shift toward platinum-plated jewellery to cut its dependence on volatile silver prices, alongside continued expansion of company-owned retail.

RECOMMENDATION

BUY

12-month horizon

CURRENT PRICE

840.80 DKK

as of report date

TARGET PRICE

995.70 DKK

12-month fundamental

IMPLIED UPSIDE

+18.4%

vs. current price

MARKET CAP

DKK 62.9 bn

shares × price

ENTERPRISE VALUE

DKK 77.3 bn

mcap + net debt

P/E 2026E

13.9×

EV/EBITDA 2026E

6.9×

FCF YIELD 2026E

8.4%

DIVIDEND YIELD

2026E

2.1%

NET DEBT / EBITDA

2026E

1.3×

RESEARCH SNAPSHOT

The call, the math, and the three reasons why

02

A one-page summary of the recommendation and the evidence behind it; the following pages provide the detail.

RECOMMENDATION BUY 12-month horizon	TARGET PRICE 995.70 DKK 12-month fundamental	CURRENT PRICE 840.80 DKK as of report date	IMPLIED UPSIDE +18.4% vs. current price
MARKET CAP DKK 62.9 bn shares × price	ENTERPRISE VALUE DKK 77.3 bn mcap + net debt	P/E · EV/EBITDA 2026E 13.9x · 6.9x history + peers, see p. 18–19	FCF · DIV YIELD 2026E 8.4% · 2.1%

01 Margin compression priced in Silver inflation and US tariffs are set to compress group EBIT from DKK 7,783 million in 2025A to DKK 7,080 million in 2026E — a 9.0% decline despite flat revenue of DKK 32,800 million. The market has already priced this cyclical hit into the current 10.9x EV/EBIT multiple. 9.0% decline	02 Platinum pivot de-risks inputs The platinum-plated pivot — converting 50% of the silver assortment by 2027 — is designed to structurally de-risk the bill of materials. It will absorb a 50 to 100 basis point transition cost in 2026 before EBIT recovers to DKK 7,332 million by 2029, supporting multiple expansion toward 12.5x. 50-100 bps	03 Deeply discounted core valuation Core Collections generates 74.5% of revenue at a 77.9% gross margin, anchoring 73.3% of enterprise value at roughly 11x. The market gives zero optionality to Fuel with More's superior 82.8% margin, despite its recent negative like-for-like turn. 11x EV/EBIT
THESIS BREAKER	The case breaks if consumers reject the platinum-plated Core assortment while tariffs escalate, dragging the valuation multiple down to 8x.	

SHARE PRICE DEVELOPMENT

Price trajectory and valuation anchors

03

Monthly closing prices over 24 months with the 12-month target price, alongside key market data.

Share price — last 24 months

DKK per share, with 12-month target line

— Share price — 12-month target



CURRENT PRICE

840.80 DKK

4 August 2026

TARGET PRICE

995.70 DKK

12-month

IMPLIED UPSIDE

+18.4%

vs. current

52-WEEK HIGH

1,099.00 DKK

past 12m

52-WEEK LOW

430.00 DKK

past 12m

1-YEAR CHANGE

-23.7%

price only

3-YEAR CHANGE

+24.7%

price only

REPORT DATE

4 August 2026

VALUE BREAKDOWN · PART 1

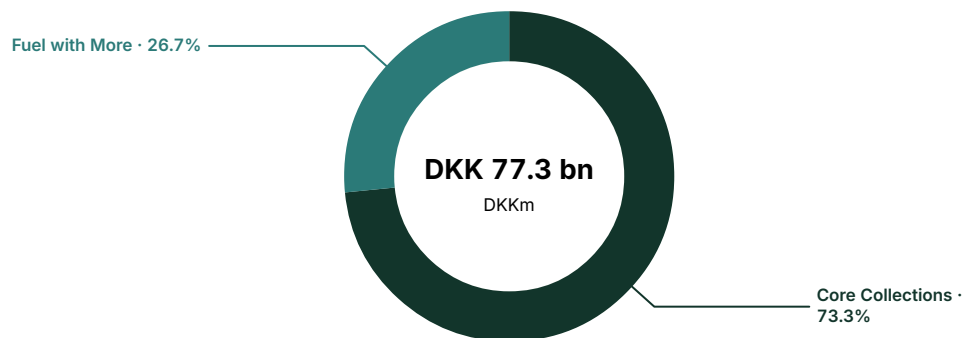
Enterprise - value allocation by segment

04

Each segment's contribution to group revenue, comparable EBIT and enterprise value.

Enterprise value by segment

DKK millions · segment revenue/EBIT weights: FY2025A



SEGMENT ECONOMICS

Revenue and Comp. EBIT: FY2025A (source: Modelled estimate / third-party FY2025 analysis). EV: current allocation.

	REVENUE	SHARE OF REVENUE / DIV.	COMP. EBIT	SHARE OF EBIT / DIV.	EV	EV %	ARCHETYPE
Core Collections	24,249	74.5%	5,705	73.3%	56,688	73.3%	Profit engine
Fuel with More	8,300	25.5%	2,078	26.7%	20,651	26.7%	Scaling
Total	32,549	100.0%	7,783	100.0%	77,339	100.0%	—

VALUE BREAKDOWN · PART 2

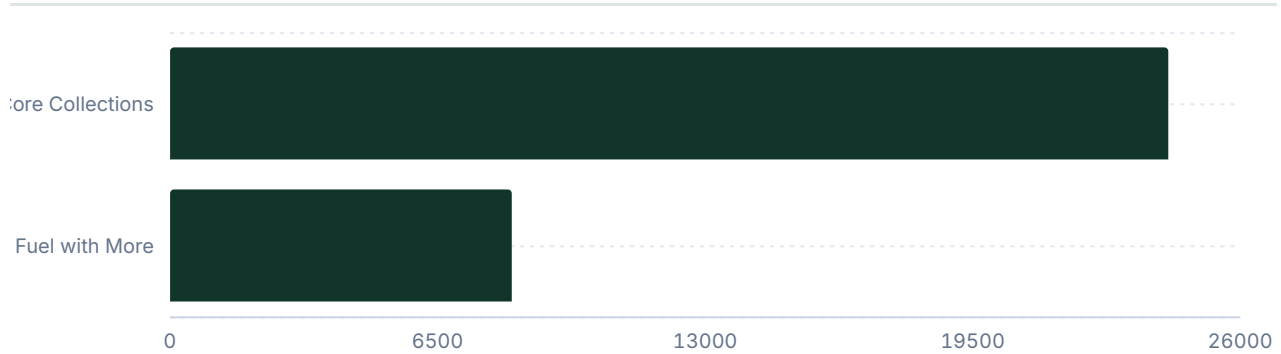
05

Net sales and EBIT by segment

Where the group's revenue and comparable EBIT originate, by segment.

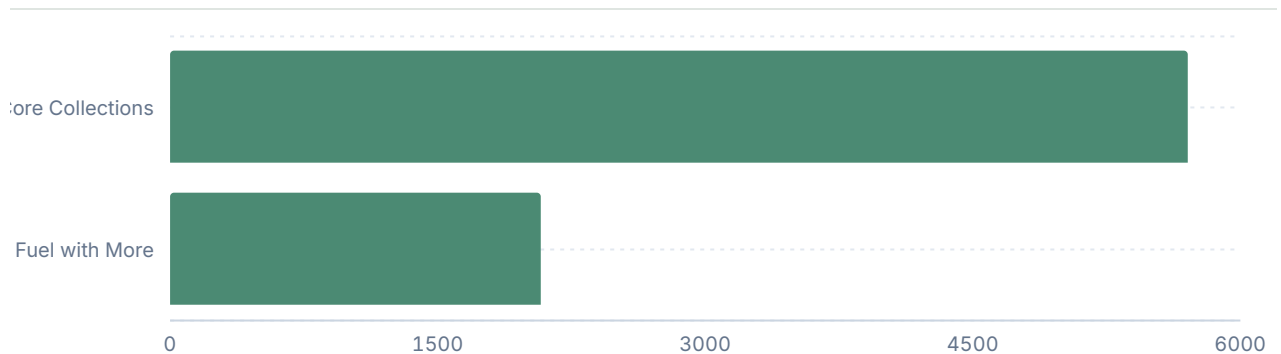
Net sales by segment

DKK millions, FY2025A



Comparable EBIT by segment

DKK millions, FY2025A



INTERPRETATION

Pandora's enterprise value is split 73.3% to Core Collections and 26.7% to Fuel with More, using a fallback EBIT-proportional framework. This shows the market values the group almost entirely on current earnings power, with no growth premium for its strategic diversification.

RECOMMENDATION

Why we land on the call we do

06

The rationale for the rating, the decision summary, and the three principal supporting arguments.

Pandora A/S is currently trading at DKK 840.8, well below our target price of DKK 995.7, implying roughly 18.4% upside and supporting a BUY rating over the next 12 months.

The mispricing: the market values Pandora purely on a discounted Core annuity, at 10.9x EBIT versus a historical 14.1x, giving zero credit for Fuel with More's optionality. Our 12.5x selected EV/EBIT multiple on DKK 7,080 million of 2026E EBIT yields a DKK 995.7 target (48% weight). This is corroborated by a 16.0x P/E on DKK 60.39 EPS (DKK 966, 32% weight) and a ROE/P/BV scatter pointing to DKK 1,063 (20% weight) — a blended target of DKK 995.7 versus the DKK 840.8 quote, roughly 18.4% upside.

Two conditions need to hold: platinum launch volumes stay resilient through 2026, and Fuel with More's negative like-for-like growth reverses by Q2/Q3 2026. The case would break if platinum-plated Core volumes decline structurally while tariffs escalate beyond 200–250bps: EBIT would fall toward the -20% sensitivity case (DKK 5,664 million), the multiple would collapse to 8x, and equity value would move toward the DKK 554/share bear case.

BUY

TARGET PRICE
995.70 DKK

CURRENT PRICE
840.80 DKK

IMPLIED UPSIDE
+18.4%

12-MONTH VIEW

Pandora is a buy driven by structural cost stabilization from its platinum-plated pivot and a deeply discounted multiple that over-penalizes cyclical headwinds.

MAIN DRIVER

Platinum-plated pivot and margin recovery.

MAIN RISK

US tariff escalation and platinum rejection.



01 Margin compression priced in

Silver inflation and US tariffs are set to compress group EBIT from DKK 7,783 million in 2025A to DKK 7,080 million in 2026E — a 9.0% decline despite flat revenue of DKK 32,800 million. The market has already priced this cyclical hit into the current 10.9x EV/EBIT multiple.

9.0% decline

02 Platinum pivot de-risks inputs

The platinum-plated pivot — converting 50% of the silver assortment by 2027 — is designed to structurally de-risk the bill of materials. It will absorb a 50 to 100 basis point transition cost in 2026 before EBIT recovers to DKK 7,332 million by 2029, supporting multiple expansion toward 12.5x.

50-100 bps

03 Deeply discounted core valuation

Core Collections generates 74.5% of revenue at a 77.9% gross margin, anchoring 73.3% of enterprise value at roughly 11x. The market gives zero optionality to Fuel with More's superior 82.8% margin, despite its recent negative like-for-like turn.

11x EV/EBIT

THESIS BREAKER

The case breaks if consumers reject the platinum-plated Core assortment while tariffs escalate, dragging the valuation multiple down to 8x.

CORE ANALYSIS · EXECUTIVE MAP

07

How the company creates economic value

The framework underlying the segment deep dives that follow.

Pandora's enterprise value currently rests on two product-based segments: the heritage Core Collections (charms and charm carriers) and the newer Fuel with More segment (rings, necklaces, earrings, and lab-grown diamonds). Core generates the large majority of the company's current revenue and profit — approximately 74.5% of revenue and an estimated 73.3% of operating profit. Fuel with More, though smaller in absolute terms, runs at a structurally higher estimated gross margin (82.8% versus 77.9% for Core) and is management's main vehicle for diversifying beyond the mature charm market into broader fine jewellery.

The enterprise value allocation in this analysis relies on a fallback EBIT-proportional framework. Pandora does not disclose fully loaded segment-level EBIT or EBITDA, so the valuation mapping applies the group multiple mechanically across estimated segment earnings. Under this framework, the group enterprise value of DKK 77,339 million splits into DKK 56,688 million for Core and DKK 20,651 million for Fuel with More. This bridges to the current equity market cap of DKK 62,892 million after deducting approximately DKK 14,447 million in net debt and senior claims (reconciled exactly to the 2026 anchor metrics). Segment values are normalized to the Financial Data enterprise value control total.

This model-based allocation points to a real valuation tension. By anchoring EV to current estimated earnings, the framework implies the market assigns no explicit growth or strategic premium to Fuel with More. In a true sum-of-the-parts valuation, Fuel with More would likely command a higher multiple given its historically faster growth and better margins. But the contraction in Fuel with More's like-for-like growth in Q1 2026 weakens the case for that premium. The task of this report is to test whether the underlying unit economics of these two segments can overcome near-term margin pressure — rising silver costs and US tariffs — and justify the current group enterprise value.

ANALYTICAL ANCHOR

Enterprise value relies on a fallback EBIT-proportional framework that anchors exclusively to current estimated earnings, giving no structural growth premium to Fuel with More despite its higher gross margin.

08

Core Collections

Segment deep dive — Profit engine.

Core Collections accounts for an estimated 74.5% of group revenue (approximately DKK 24.2 billion in FY2025) and an estimated 73.3% of group EBIT (DKK 5,705 million). Under the fallback EBIT-proportional allocation, it represents DKK 56,688 million in enterprise value, or 73.3% of the group total. Confidence in this allocation is low because it relies on estimated gross-margin differentials and proportional operating expense allocations rather than company-reported segment EBIT. The group's reported economics are not materially distorted by non-cash revaluations, so the cash-generative nature of this segment is reliable, though currently burdened by cyclical commodity costs.

The market values Core Collections as Pandora's foundational cash engine. The collectability of charms and charm carriers creates a highly recurring revenue stream that is unusual in discretionary apparel and accessories. Customers return to buy incremental charms for existing bracelets, driving high-margin replenishment volume that has historically supported Pandora's free cash flow and capital return program. At an implied allocation of roughly 11x estimated EBIT, the market is pricing this segment as a durable, low-growth annuity rather than a deteriorating asset, assuming the brand's IP and installed base of charm collectors will persist through the current cost headwinds.

Pandora's moat in Core Collections comes from vertical integration and brand equity. Unlike traditional multi-brand retailers such as Signet Jewelers — which runs a more conventional retail margin structure with an adjusted EBIT margin of roughly 7.4% — Pandora owns its manufacturing infrastructure in Thailand and Vietnam. This lets the company capture the full manufacturer-to-retail margin spread, resulting in an estimated Core gross margin of 77.9%. Lower-tier competitors like Lovisa run high EBIT margins (~18%) but rely on fast-fashion trends and rapid store expansion rather than durable, collectable IP. Pandora's main challenge is not a direct substitute taking charm market share, but share-of-wallet erosion if price hikes make charms less accessible to mass-market consumers.

The economics of the Core segment follow a simple volume × ASP × margin equation. Pandora produces over 100 million pieces of jewellery a year, which absorbs fixed manufacturing costs effectively. But the unit economics are currently under real strain. Combined headwinds from record-high silver prices and US tariffs on Southeast Asian manufacturing are expected to compress 2026 group EBIT margins by 200–250 basis points. To defend these unit economics, management announced a major restructuring of the product base: the "platinum-plated pivot." Pandora plans to move at least 50% of its relevant silver assortment to platinum-plated jewellery by 2027. This aims to permanently reduce the bill of materials' exposure to silver volatility, but it brings transition costs (50–100 basis points in 2026) and real consumer perception risk.

CORE COLLECTIONS FACT SHEET

PROFIT ENGINE

FY2025A REVENUE

DKK 24,249m

FY2025A COMP. EBIT

DKK 5,705m

GROSS MARGIN

77.9%

LFL GROWTH

Low single-digits

KEY PRODUCTS

Charms, charm carriers

PRICING STRUCTURE

Accessible luxury, low ASP

08

Fuel with More

Segment deep dive — Scaling.

Fuel with More accounts for an estimated 25.5% of group revenue (DKK 8.3 billion) and 26.7% of group EBIT (DKK 2,078 million). Under the fallback EBIT-proportional allocation, it represents DKK 20,651 million of enterprise value. It operates at an estimated 82.8% gross margin, structurally higher than Core.

Fuel with More is valued as Pandora's main strategic growth vehicle. By expanding into rings, necklaces, earrings, and heavily marketing the Pandora Lab-Grown Diamonds collection, the company is trying to move from a single-niche "charm brand" to a "full jewellery brand." The market has historically rewarded this segment with expectations of outsized growth, since the higher ASPs and better gross margins in these categories offer strong operating leverage. Lab-grown diamonds in particular give Pandora a way to reach millennial and Gen Z consumers seeking accessible luxury with sustainability credentials.

In this segment, Pandora faces intense competition from legacy incumbents like Signet Jewelers, which is aggressively expanding its own lab-grown offerings, and from agile pure-play diamond retailers. Pandora's moat here is weaker than in Core Collections. Its global store network and existing customer footfall give it a strong distribution advantage, but its IP in rings and necklaces does not carry the same unique pull as its charms. Success here depends largely on marketing efficiency and brand elevation.

The unit economics of Fuel with More require heavy reinvestment in SG&A to shift consumer perception. The gross margin is attractive at 82.8%, but the contribution margin is likely diluted by the marketing spend needed to acquire non-charm customers. The valuation case for this segment took a significant setback when Fuel with More reported negative like-for-like growth in Q1 2026 — its first contraction since 2022. If the category needs constant, escalating marketing spend just to hold volumes flat, the strong gross margin will not translate into the free cash flow growth implied by a strategic premium.

FUEL WITH MORE FACT SHEET

SCALING

FY2025A REVENUE
DKK 8,300m

FY2025A COMP. EBIT
DKK 2,078m

GROSS MARGIN
82.8%

LFL GROWTH
Negative (Q1 2026)

KEY PRODUCTS
Rings, necklaces, lab-grown diamonds

STRATEGIC ROLE
Diversification vehicle

CORE ANALYSIS · CROSS-SEGMENT BRIDGE

Putting the segments back together

09

How the segment valuations aggregate to the group, and the re-rating the target price requires.

Pandora's financial forecast is driven mechanically by a near-term margin trough followed by a slow recovery. The 2026 guidance points to effectively zero organic growth (-1% to +2%) alongside a sharp EBIT contraction, from DKK 7,783 million in 2025 to an estimated DKK 7,080 million. This trough falls entirely on the Core business, which absorbs the 200–250 basis point headwind from US tariffs and elevated silver costs.

The most uncertain part of the bridge is the recovery to 2029. The return to roughly DKK 7.3 billion in EBIT and roughly DKK 5.0 billion in free cash flow depends heavily on future optionality and cost cuts — specifically, successful execution of the platinum-plated pivot by 2027 to structurally lower raw material costs, and a re-acceleration of Fuel with More to drive top-line leverage.

If the platinum pivot's transition costs exceed the guided 50–100 basis points, or if consumers reject the new product formulation, the 2029 outer-year estimates will prove too optimistic.

BRIDGE MECHANICS

The financial forecast hinges on a near-term margin trough in 2026 absorbed entirely by the Core business, followed by a slow normalization through 2029 driven by platinum pivot cost savings and working capital stabilization.

Pandora's enterprise value of DKK 77,339 million rests entirely on its current earnings power, but the market has discounted that earnings base well below historical norms. Trading at 10.9x forward EV/EBIT against a normalized historical average of 14.1x, the valuation reflects real skepticism about the durability of the company's margins and growth.

This allocation implies the market assigns almost no option value to the Fuel with More expansion or the lab-grown diamond rollout. Instead, the valuation is anchored purely to the cash-generative floor of the Core segment, discounted for the coming tariff and silver cost headwinds. The enterprise value bridges cleanly to the DKK 62,892 million market cap after deducting DKK 14,446 million in net debt. Leverage has stepped up recently — Net Debt/EBITDA moving from 0.78x in 2022 to an estimated 1.29x in 2026 — which increases the equity's sensitivity to any operating missteps.

The valuation is well supported as a cash-flow-backed floor, provided the platinum pivot succeeds in preserving Core's gross margins. It could fail, however, if the negative like-for-like growth in Fuel with More proves structural and damages the broader brand, or if US tariffs escalate beyond the current 200–250 basis point guidance, permanently lowering the company's EBIT-generating capacity.

CORE ANALYSIS · SCENARIOS & VERDICT

10

Scenario logic and the bottom-line judgment

How the conclusion changes under less favourable scenarios.

The primary variable driving the valuation swings between these scenarios is the success or failure of the platinum-plated strategy within the Core segment. Because Core drives nearly three-quarters of the company's enterprise value, any disruption to its unit economics dominates the valuation output.

In the Bear scenario, the largest risk to the thesis materializes: consumers reject the shift from sterling silver to platinum-plated jewellery, leading to a structural decline in charm volumes. If this happens alongside sustained US tariffs, operating leverage turns sharply negative, compressing the EV/EBIT multiple toward deep-value retail territory (8x or lower).

In the Bull scenario, upside depends almost entirely on the Fuel with More segment. If lab-grown diamonds re-accelerate and prove that Pandora can capture sustainable fine-jewellery market share, the market will reward the group with a growth-adjusted multiple re-rating, expanding the EV without requiring heroic margin assumptions.

BOTTOM LINE

The central investment debate for Pandora is whether the company is a mature cash cow managing a slow decline against rising commodity costs, or a brand in the early stages of a successful shift into a diversified fine-jewellery business. The current valuation clearly sides with the former. Trading at depressed multiples relative to its own history, the enterprise value rests entirely on the current economics of the Core Collections segment.

FINANCIAL BRIDGE · PART 1

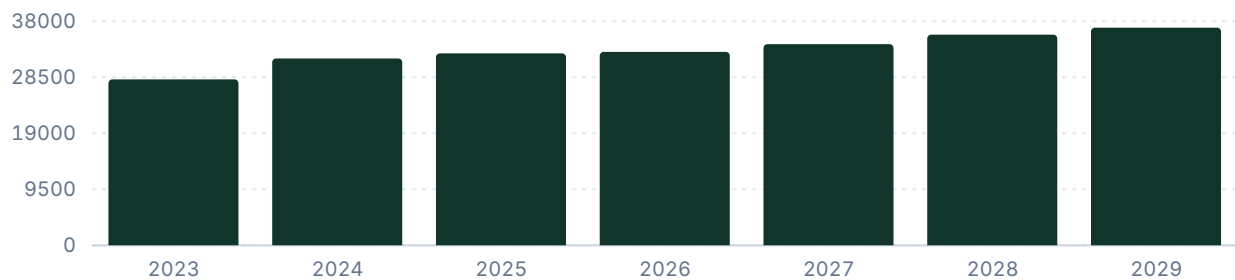
Net sales, EBITDA / EBIT, EBIT margin

14

Group-level trajectory for sales, earnings and margin; shaded bands mark forecast periods.

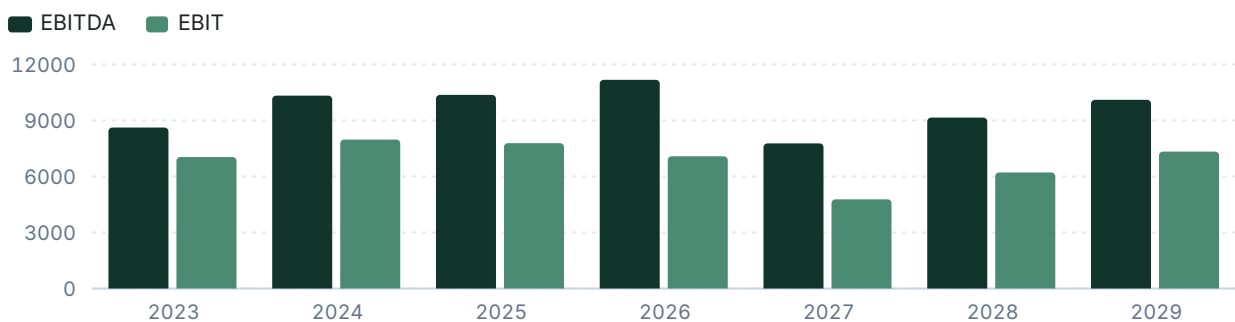
Net sales

DKK millions



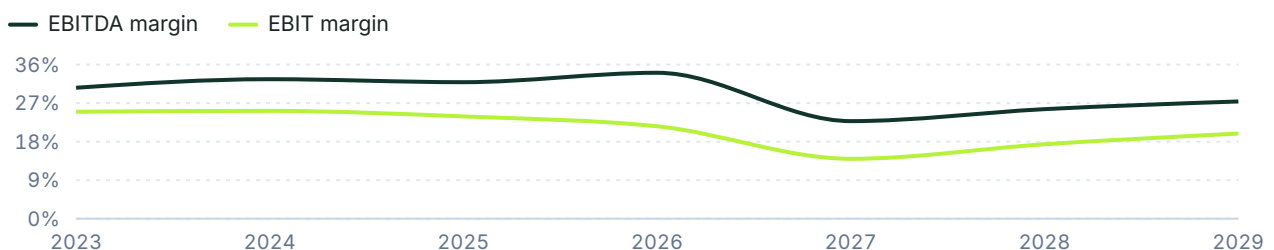
EBITDA & EBIT

DKK millions



EBIT and EBITDA margin

% of net sales



FINANCIAL BRIDGE · PART 2

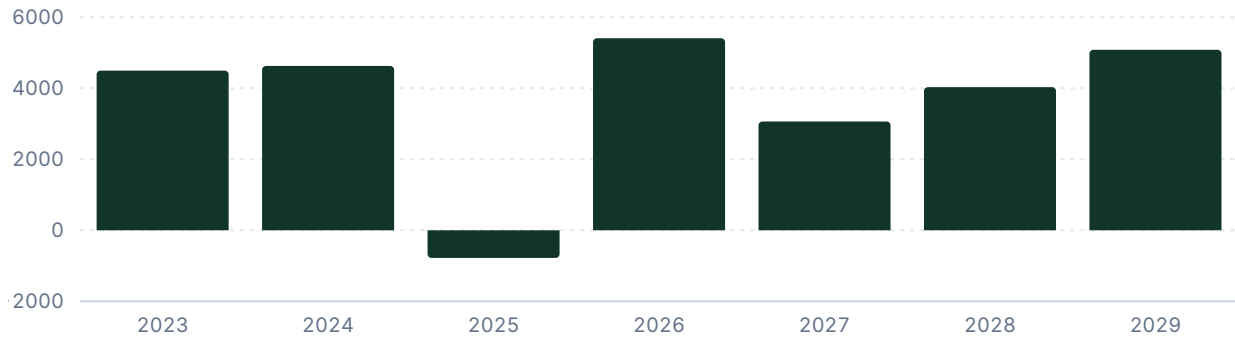
15

Free cash flow, leverage, and key financials

Cash generation and balance-sheet capacity.

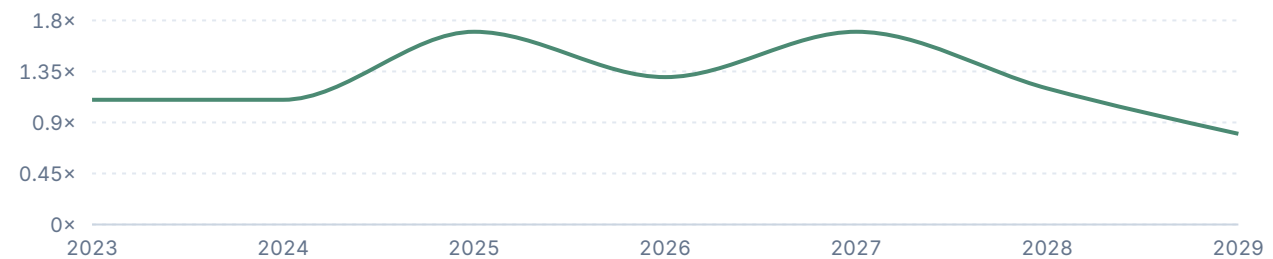
Free cash flow

DKK millions



Net debt / EBITDA

Ratio



KEY FINANCIALS

	2025	2026	2027	2028	2029
Net Sales	32,549	32,800	34,110	35,720	36,902
EBITDA	10,369	11,176	7,771	9,153	10,105
Comparable EBIT	7,783	7,080	4,775	6,215	7,332
Net Earnings	5,242	4,648	2,977	4,078	5,035
EPS (DKK)	68.1	60.4	38.7	53	65.4
DPS (DKK)	20	17.8	11.4	15.7	19.3

VALUATION

Target price derivation

16

The rationale for the chosen valuation method and multiple, with the company's historical multiples.

Peer comparison not shown - fewer than 3 usable peers available.

Pandora A/S is a mature, cash-generative cyclical industrial company currently facing cyclical margin pressures from tariffs and commodity inputs, making unlevered EV/EBIT the cleanest metric to evaluate operating valuation independent of leverage changes. Due to having fewer than three fully validated direct peers, our primary valuation reference is the company's own historical multiples alongside its reverse valuation dynamics. Pandora trades at a market-implied 10.9x 2026e EV/EBIT, which represents a noticeable discount to its normalized historical average EV/EBIT of 14.11x. To adequately account for current cyclical headwinds while recognizing the robust core profitability underlying the business, the selected fair multiple is 12.5x. The robust ROE vs P/BV scatter setup strongly complements this dynamic, earning a 20% target-price weight as current ROE positioning is highly relevant to valuation. The main valuation risk is a deeper-than-expected cyclical margin contraction or softer top-line resilience, either of which would likely further compress the fair EV/EBIT multiple toward or below current market levels.

HISTORICAL AND FORECAST MULTIPLES

METRIC	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	NORM. AVG	SELECTED FAIR MULTIPLE
P/E	34.10x	19.36x	9.00x	16.82x	20.31x	10.39x	13.92x	21.74x	15.87x	18.33x	16.0x
P/FCF	11.45x	18.80x	22.63x	17.73x	22.94x	-69.96x	11.63x	20.53x	15.61x	18.71x	n/a
P/BV	8.94x	11.50x	6.32x	14.88x	19.27x	10.31x	7.19x	6.06x	4.62x	11.87x	n/a
P/S	3.48x	3.44x	1.71x	2.83x	3.35x	1.67x	1.92x	1.84x	1.76x	2.75x	n/a
EV/Sales	3.64x	3.60x	1.97x	3.18x	3.70x	2.22x	2.36x	2.24x	2.07x	3.05x	n/a
EV/EBITDA	13.85x	10.87x	5.97x	10.38x	11.34x	6.98x	6.92x	9.82x	8.06x	9.90x	n/a
EV/EBIT	25.80x	14.44x	7.72x	12.71x	14.69x	9.30x	10.92x	15.98x	11.88x	14.11x	12.5x
Dividend yield	1.3%	1.8%	3.3%	1.7%	1.4%	2.8%	2.1%	1.4%	1.9%	2.1%	n/a

VALUATION

Peers and target price bridge

17

Validated peer multiples, each method's implied price and weight, and the sensitivity of the target.

PEER COMPARISON

TARGET PRICE BRIDGE					
METHOD	FORECAST METRIC	METRIC VALUE	SELECTED MULTIPLE	IMPLIED PRICE	WEIGHT
EV/EBIT	2026e EBIT	7,080 DKKm	12.5x	987.4 DKK	48%
P/E	2026e EPS	60.39 DKK	16.0x	966.2 DKK	32%
XY scatter (ROE/P/BV)	Average forecast BVPS	145.9 DKK	7.3x	1,062.9 DKK	20%
Weighted target price				995.7 DKK	100%

SENSITIVITY — IMPLIED SHARE PRICE			
2026E EBIT (DKKM)	MULTIPLE 11.5X	MULTIPLE 12.5X (BASE)	MULTIPLE 13.5X
5,664 (-20%)	675.9	751.4	826.9
6,372 (-10%)	784.4	869.4	954.3
7,080 (Base)	893.0	987.4	1081.8
7,788 (+10%)	1001.5	1105.4	1209.2
8,496 (+20%)	1110.1	1223.4	1336.7

VALUATION MAP

ROE vs P/BV — pricing versus profitability

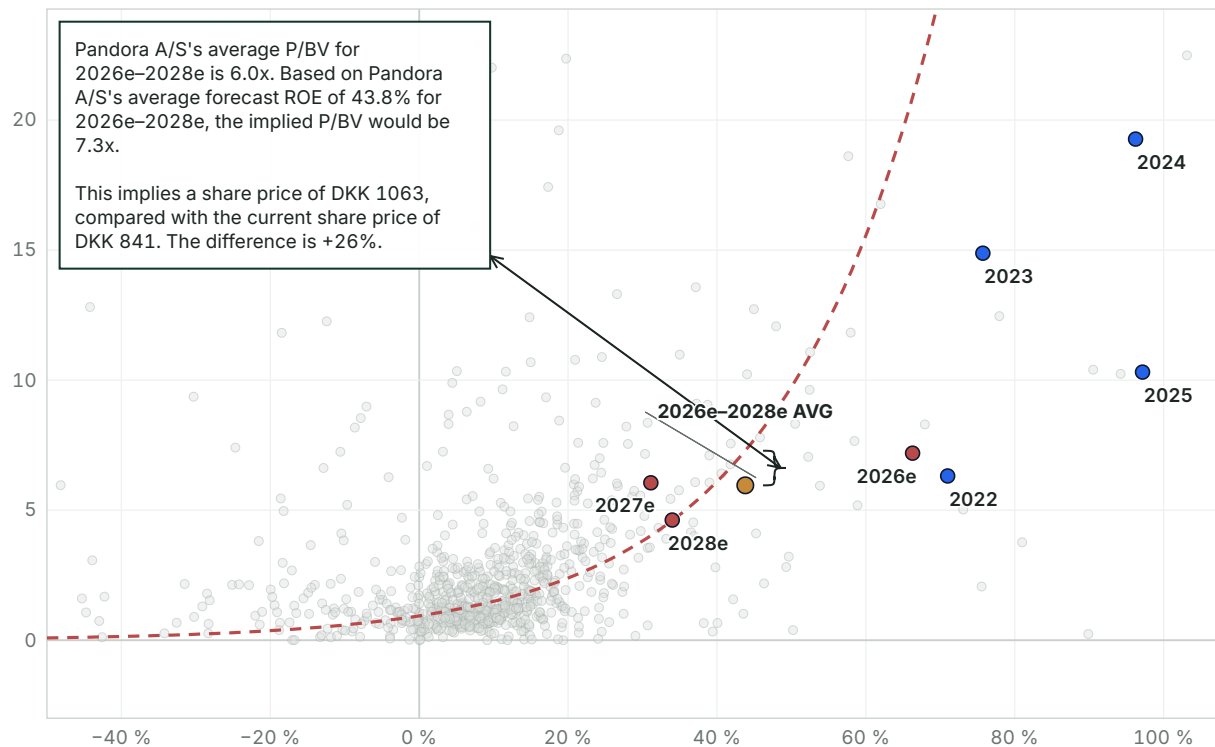
18

The whole Wisdom universe as context: how the market prices profitability on average, and what the company's forecast position would imply for the share price.

ROE 2025 vs P/BV 2025

Pandora A/S in the Wisdom universe (4 632 companies)

○ Universe ● History ● Forecast ● Forecast average



Pandora's valuation is plotted against a global universe to compare its forecast average ROE of 43.8% with its current P/BV of 6x, which sits below the curve-implied multiple of 7.3x. This suggests the stock is undervalued relative to how the market typically prices such high returns: the universe relationship implies a share price of DKK 1,062.9. At the current price of DKK 840.8, this points to potential upside of 26%.

MULTIPLES & SENSITIVITY

19

Forward multiples and EBITDA × multiple grid

How the implied valuation responds to changes in EBITDA and the applied multiple.

FORWARD MULTIPLES		2026
P/E		13.9×
EV/EBITDA		6.9×
EV/EBIT		10.9×
P/FCF		12.0×
P/BV		7.2×
Dividend Yield		2.1%
Net Debt / EBITDA		1.3×

EBITDA × EV/EBITDA sensitivity						
EBIT EV/EBIT →	8.0×	10.0×	11.0×	12.5×	14.0×	
-20% DKK 8,941m	DKK 71,528m DKK 716.80 / sh	DKK 89,410m DKK 955.80 / sh	DKK 98,351m DKK 1,075.40 / sh	DKK 111,763m DKK 1,254.70 / sh	DKK 125,174m DKK 1,434.00 / sh	
-10% DKK 10,058m	DKK 80,464m DKK 836.20 / sh	DKK 100,580m DKK 1,105.20 / sh	DKK 110,638m DKK 1,239.60 / sh	DKK 125,725m DKK 1,441.30 / sh	DKK 140,812m DKK 1,643.00 / sh	
Base DKK 11,176m	DKK 89,408m DKK 955.80 / sh	DKK 111,760m DKK 1,254.60 / sh	DKK 122,936m DKK 1,404.10 / sh	DKK 139,700m DKK 1,628.20 / sh	DKK 156,464m DKK 1,852.30 / sh	
+10% DKK 12,293m	DKK 98,344m DKK 1,075.30 / sh	DKK 122,930m DKK 1,404.00 / sh	DKK 135,223m DKK 1,568.30 / sh	DKK 153,663m DKK 1,814.80 / sh	DKK 172,102m DKK 2,061.30 / sh	
+20% DKK 13,411m	DKK 107,288m DKK 1,194.90 / sh	DKK 134,110m DKK 1,553.40 / sh	DKK 147,521m DKK 1,732.70 / sh	DKK 167,638m DKK 2,001.70 / sh	DKK 187,754m DKK 2,270.60 / sh	

SCENARIO VALUATION

20

Bear / Base / Bull bridge

Revenue, EBITDA, multiple, EV, equity, value-per-share and upside in each scenario.

SCENARIO BRIDGE								
	REVENUE	EBITDA	MARGIN	MULTIPLE	EV	EQUITY	VALUE / SHARE	UPSIDE
Bear	32,800	8,000	24.4%	7.0×	56,000	38,088	DKK 509.19	-39.4%
Base	32,800	11,176	34.1%	6.9×	77,338	59,426	DKK 794.46	-5.5%
Bull	32,800	13,000	39.6%	7.1×	92,040	74,128	DKK 991.01	+17.9%
KEY CONDITIONS Valuation swings depend primarily on the successful execution of the platinum-plated strategy within Core Collections, alongside lab-grown diamond re-acceleration in Fuel with More to drive multiple re-rating.								
THESIS BREAKER The case breaks if consumers reject the shift to platinum-plated jewellery, causing a structural volume decline, while tariffs escalate at the same time.								

CATALYSTS

21

Monitoring checklist

Near-, medium- and long-term events that could change the recommendation.

CATALYST REGISTER				
	TIMING	SEGMENT	INDICATOR	VALUATION IMPACT
Platinum-plated product launch	NEAR-TERM	Core Collections	Initial consumer volume uptake and LFL resilience	High (Core margin defense)
Fuel with More LFL updates	NEAR-TERM	Fuel with More	Reversal of the negative Q1 2026 LFL trend	High (Growth premium)
Geographic reporting transition	MEDIUM-TERM	Core Collections	Clarity on APAC vs EMEA demand elasticity	Medium (Transparency)
US Tariff policy shifts	NEAR-TERM	Core Collections	Changes to import duties from Thailand/Vietnam	High (Cost structure)
READ - THROUGH The most important catalyst to watch is the initial consumer reaction to the platinum-plated product launches through 2026. This is the easiest operational change to observe but the one most likely to be misread by the market: early adoption figures may be skewed by marketing pushes, and true replenishment behavior will take several quarters to show up. The quarterly reporting of Fuel with More's like-for-like growth is the main pulse check on the company's strategic expansion. If Fuel with More keeps printing negative growth, the market will strip out any remaining option value it assigns to the lab-grown diamond thesis.				

RISKS

Risk register

22

Each risk's segment, mechanism, early-warning trigger, impact band and structural type.

RISK REGISTER					
	SEGMENT	MECHANISM	EARLY WARNING	IMPACT	TYPE
Execution of Platinum Pivot	Core Collections	Consumer rejection of platinum-plated assortment leads to lower volumes.	Immediate Q3/Q4 volume drops	HIGH	STRUCTURAL
US Tariff Escalation	Core Collections	Escalation in US import duties from Thailand and Vietnam hits vertically integrated margins.	US regulatory announcements	HIGH	STRUCTURAL
Lab-Grown Diamond Commoditization	Fuel with More	Wholesale deflation eventually forces retail price cuts, compressing gross margins.	Eroding retail LGD pricing	MEDIUM	MANAGEABLE
READ - THROUGH The biggest risk to the thesis is a bungled execution of the platinum-plated transition. If the core consumer perceives a drop in quality or authenticity, Pandora risks damaging its most valuable asset: the recurring revenue from charm collectors. This risk interacts badly with tariff risk — if tariffs escalate further, Pandora will have fewer margin levers left, having already used the platinum pivot. The risk that is already partly priced into the equity is near-term margin compression, reflected in the depressed 10.9x EV/EBIT multiple. The underappreciated risk sits in the Fuel with More segment: while analysts have focused on the top-line growth of lab-grown diamonds, structural deflation in wholesale lab-grown diamond prices threatens to commoditize the category entirely.					

23

APPENDIX

Income statement

INCOME STATEMENT — DKK MILLIONS						
	2023	2024	2025	2026 E	2027 E	2028 E
Net Sales	28,136	31,680	32,549	32,800	34,110	35,720
EBITDA	8,621	10,330	10,369	11,176	7,771	9,153
EBITDA margin	30.6%	32.6%	31.9%	34.1%	22.8%	25.6%
Depreciation	-1,582	-2,354	-2,586	-4,096	-2,995	-2,938
Operating Profit (EBIT)	7,039	7,976	7,783	7,080	4,775	6,215
EBIT margin	25.0%	25.2%	23.9%	21.6%	14.0%	17.4%
Net financial items	-805	-1,050	-870	-989	-897	-901
Pre-tax Profit	6,234	6,926	6,913	6,091	3,879	5,314
Net Earnings	4,740	5,227	5,242	4,648	2,977	4,078
PER SHARE						
EPS	55.5	64.9	68.1	60.4	38.7	53
DPS	16	18	20	17.8	11.4	15.7
Payout ratio	28.8%	27.8%	29.4%	28.7%	28.7%	28.7%

E = Valuatum estimate (not yet actualised)

24

APPENDIX

Balance sheet

BALANCE SHEET — DKK MILLIONS						
	2023	2024	2025	2026 E	2027 E	2028 E
ASSETS						
Tangible assets	6,525	8,472	9,152	9,065	9,427	9,872
Intangibles	2,886	3,106	3,343	3,369	3,503	3,669
Goodwill	4,914	5,126	5,020	5,020	5,020	5,020
Non-current assets	14,540	17,002	17,811	17,749	18,246	18,856
Inventories	4,166	4,426	4,883	4,802	4,994	5,230
Receivables	2,435	2,406	4,038	3,992	4,083	4,195
Cash & equivalents	1,397	2,394	1,305	1,722	1,791	1,876
Current assets	7,998	9,226	10,226	10,516	10,868	11,301
Total Assets	23,798	27,758	29,603	29,832	30,680	31,723
EQUITY & LIABILITIES						
Equity	5,355	5,508	5,282	8,743	10,385	13,608
Long-term debt	6,972	7,831	11,922	5,036	4,414	3,094
Short-term debt	313	397	1,627	5,036	4,414	3,095
Long-term liabilities	6,344	7,098	6,939	53	-569	-1,889
Current liabilities	8,053	9,877	11,252	14,477	14,033	12,931
Total liabilities & equity	23,798	27,758	29,603	29,832	30,680	31,723
CAPITAL STRUCTURE & RATIOS						
Net debt	9,770	11,007	17,912	14,446	13,407	10,924
Capital invested	11,243	11,342	17,526	17,093	17,422	17,922
Equity ratio	22.5%	19.8%	17.8%	29.3%	33.8%	42.9%
Gearing	182.4%	199.8%	339.1%	165.2%	129.1%	80.3%
Net debt / EBITDA	1.1×	1.1×	1.7×	1.3×	1.7×	1.2×
Current ratio	1	0.9	0.9	0.7	0.8	0.9

E = Valuatium estimate (not yet actualised)

25

APPENDIX

Cash flow

CASH FLOW — DKK MILLIONS						
	2023	2024	2025	2026 E	2027 E	2028 E
OPERATIONS						
CF from operations	6,998	9,089	5,883	8,686	5,866	6,886
Operating cash flow	7,638	9,549	6,867	9,441	6,555	7,578
Change in working capital	-403	-1,509	1,944	57	106	130
INVESTING & FREE CASH						
Gross capex	3,101	4,816	3,395	4,034	3,492	3,548
Capex (ex. M&A)	-3,101	-4,816	-3,395	-4,034	-3,492	-3,548
Free Operating Cash Flow	4,496	4,628	-778	5,407	3,063	4,030
Free cash flow to firm	4,496	4,628	-778	5,407	3,063	4,030
FINANCING						
CF from financing	-3,014	-2,945	-3,902	-4,235	-2,306	-3,253
Dividends paid	-1,484	-1,367	-1,451	-1,539	-1,335	-855
Net change in cash	883	1,328	-1,414	417	69	85

E = Valuatum estimate (not yet actualised)

26

APPENDIX

Quarterly snapshot

HISTORICAL QUARTERS — LAST TWO COMPLETED YEARS, DKK MILLIONS								
	Q1/24	Q2/24	Q3/24	Q4/24	Q1/25	Q2/25	Q3/25	Q4/25
Net Sales	6,834	6,771	6,103	11,973	7,347	7,075	6,269	11,858
EBITDA	2,068	1,917	1,572	4,772	2,265	1,910	1,523	4,670
EBITDA margin	30.3%	28.3%	25.8%	39.9%	30.8%	27.0%	24.3%	39.4%
Comparable EBIT	1,507	1,338	981	4,149	1,641	1,287	879	3,975
EBIT margin	22.1%	19.8%	16.1%	34.7%	22.3%	18.2%	14.0%	33.5%
Net Earnings	965	799	595	2,869	1,101	803	489	2,849
EPS	12	9.9	7.4	35.6	14.3	10.4	6.4	37

CURRENT YEAR — QUARTERLY, DKK MILLIONS				
	Q1/26	Q2/26 E	Q3/26 E	Q4/26 E
Net Sales	7,109	6,965	6,171	12,555
EBITDA	2,146	2,080	1,682	5,268
EBITDA margin	30.2%	29.9%	27.3%	42.0%
Comparable EBIT	1,487	1,117	763	3,712
EBIT margin	20.9%	16.0%	12.4%	29.6%
Net Earnings	942	668	397	2,640
EPS	12.2	8.7	5.2	34.3

E = Valuatum estimate (not yet actualised)

27

SOURCES & DISCLAIMER

Sources, assumptions, and standard disclaimer

SOURCES REGISTER			
	VALUE	CATEGORY	USED IN
Enterprise Value and Multiples (current)	77,339m EV; 10.92x EV/EBIT	MARKET DATA	Pages 2 & 18
FY2025 Reported Group Revenue and EBIT	32,549m Net Sales; 7,783m EBIT	FINANCIAL SNAPSHOT	Throughout
Estimated Core vs. Fuel with More Revenue/EBIT Split	73.3% Core / 26.7% Fuel with More (EV Allocation)	COMPANY VALUE MAP	Pages 5 & 6
FY2026E Forward Estimates	7,080m EBIT; 11,176m EBITDA	GENERATED ESTIMATE	Pages 2 & 18
DISCLAIMER This report is based on publicly available information and modeled estimates where segment disclosure is absent. Group totals reflect actual provided financials. This report was produced with the assistance of generative artificial intelligence. It may contain inaccuracies, is provided for information only, and does not constitute investment advice or a recommendation to buy or sell any security. Figures should be independently verified before use. © Valuatum Oy			